

ABBN: ABB Ltd

Valuation Premium · Multiple Efficiency Engine · Structural Growth

NTM P/E	LTM P/E	LTM P/BV	Div. Yield
32.35x	40.28x	13.17x	1.0%
Growth premium	Quality pricing	High asset return	Reinvesting for growth
Value Rank	Growth Rank	Fwd 2Y EPS CAGR	ROE 2026E
17/100	82/100	+14.4%	34.52%
Premium entry	TOP GROWTH	Sustained acceleration	vs 31.04% in 2025A

THE QUANTITATIVE CASE FOR ABB LTD AS AN AUTOMATION POWERHOUSE

While value screens filter for depressed asset prices, our quantitative model flags ABB Ltd (ABBN) under a different high-conviction mandate: a pure **Growth Rank of 82/100** — qualifying as a **Top Growth** name — positioning the engineering and electrification giant in the upper echelon of our 3,700+ European equity universe. Trading at a clear quality premium (Value Rank: 17/100), ABB's compounding operational efficiency justifies every bit of its valuation.

1 · High-Velocity Financial Expansion

ABB has moved past structural legacy realignments and is operating as a high-velocity growth engine across electrification, motion, and robotics.

- **Top-Line Acceleration:** Revenue projected to expand from CHF 33,220M (2025A) to **CHF 37,482M (2026E)** — a powerful **+12.8% YoY** surge.
- **Earnings Velocity:** Forward 2-Year EPS CAGR of **+14.4%** — structural bottom-line compounding driven by secular automation demand.
- **Net Income Optimisation:** Normalised Net Income on track to jump from CHF 4,760M to **CHF 6,022M (+26.5% YoY)** — highlighting the intense operating leverage embedded in the platform.

2 · Elite Efficiency & Return Profiles

ABB's high price-to-book multiple is fully backed by world-class profitability metrics that prevent it from being an overhyped growth trap.

- **Stellar Return Architecture:** LTM ROE of **33.6%**, with forward 2026E estimates rising further to **34.52%** — elite capital returns expanding, not contracting.
- **Capital Allocation Superiority:** LTM ROIC of **24.5%** — highlighting management's exceptional ability to extract massive value from every unit of deployed capital.
- **Margin Expansion:** EBITDA margins widening from 20.7% to **21.9%** and EBIT margins climbing to **19.4%** heading into late 2026 — operating leverage at scale.

3 · Ironclad Balance Sheet

Sustained industrial growth requires a bulletproof financial foundation, which ABB possesses in abundance.

■ **Minimal Leverage:** LTM Net Debt/EBITDA of just **0.44x** — a pristine balance sheet with ample capacity to fund the next phase of growth.

■ **Pivoting to Net Cash:** 2026E balance sheet projects a **net cash position of CHF 3,900M** — the company will hold more cash than debt, eliminating any financing risk.

■ **Robust Free Cash Flow:** FCF projected at **CHF 4,602M for 2026E** — funding continuous internal R&D and automation investment without relying on external capital markets.

The Bottom Line

ABB Ltd represents the classic “Great Company at a Premium Price” archetype. A Value Rank of 17/100 indicates the market fully acknowledges its scarcity value — however, a Growth Rank of 82/100 coupled with a 34.52% forward ROE and a net cash pivot confirms the operational engine is running hotter than ever. For institutional portfolios targeting secular automation, green electrification, and supply-chain reshoring, ABB is a core growth compounder. Stop guessing, start calculating.

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